

Bharat Heavy Electricals Limited (BHEL)

Sector: Industrials | Financial Intelligence tearsheet | Latest FY24 (2024-03)

1. Core Performance Ratios (Latest Year)

Metric	Value	Benchmark / Status
Return on Equity (ROE)	1.15%	ROE > 15% is healthy
Return on Capital (ROCE)	1.27%	Relative sector-adjusted benchmark
Net Profit Margin (NPM)	1.18%	Core net earnings efficiency
Debt to Equity (D/E)	0.36	Financial leverage ratio
Interest Coverage Ratio (ICR)	1.59	Debt service capacity cushion
Asset Turnover	0.40	Asset utilization intensity

2. Time-Series Income Statement (P&L; Trend)

Year	Revenue / Sales (Cr)	Net Profit (Cr)	EPS (■)
2024-03	■23,893.0	■282.0	■1.00
2023-03	■23,365.0	■654.0	■2.00
2022-03	■21,211.0	■445.0	■1.00
2021-03	■17,309.0	■-2,700.0	■-8.00
2020-03	■21,463.0	■-1,468.0	■-4.00
2019-03	■30,441.0	■1,002.0	■3.00

3. Balance Sheet & Asset Structure

Year	Fixed Assets (Cr)	Current Assets (Cr)	Borrowings (Cr)
2024-09	■2,571.0	■58,645.0	■9,128.0
2024-03	■2,574.0	■56,650.0	■8,856.0
2023-03	■2,476.0	■54,599.0	■5,454.0
2022-03	■2,398.0	■53,956.0	■4,830.0
2021-03	■2,491.0	■52,864.0	■4,951.0
2020-03	■2,817.0	■56,998.0	■5,080.0

4. Cash Flow & Capital Allocation Pattern

Year	CFO (Ops)	CFI (Invest)	CFF (Finance)
2024-03	■-3,713.0	■1,331.0	■2,656.0
2023-03	■-741.0	■1,480.0	■89.0
2022-03	■660.0	■-1,118.0	■-329.0
2021-03	■560.0	■-42.0	■-394.0
2020-03	■-2,892.0	■1,877.0	■1,622.0
2019-03	■-3,860.0	■1,919.0	■-32.0

5. Qualitative Analysis (Strengths & Risks)

■ Strengths (Pros)	■ Risk Factors (Cons)
• Attractive dividend yield of 4.0% provides stable cash income.	• Subpar return on equity (ROE) of 1.2% indicates weak profitability relative to equity. • Low return on capital employed (ROCE) of 1.3% shows inefficient capital allocation. • Stagnant revenue growth with a 5-year Sales CAGR of only -4.7%. • Sluggish earnings performance with a 5-year PAT CAGR of -22.4%. • Latest free cash flow is negative (■-2,382.0 Cr), requiring external capital or cash drawdowns. • Lower earnings quality with a CFO/PAT ratio of only -13.17, indicating accrual drag. • Weak debt servicing cushion with an Interest Coverage Ratio of only 1.59x. • Premium asset pricing with a high Price-to-Book multiple of 11.4. • Asset-heavy or inefficient operations with a low asset turnover of 0.40.